Ref: Directive 144.A.i (LT&ST)

DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Long-term & short-term insurers		**File:**	10/17/1	
Edition	**Issue date**	**Effective date**	**Directive**	**Status**	**Withdrawal date**
1st	15 March 2004	15 March 2004	144.A.i (LT&ST)	In force	-
2nd	-	-	-	-	-
3rd	-	-	-	-	-
Subject:	Presentation of financial statements in accordance with Generally Accepted Accounting Practice				

1. **Purpose of this directive**

This directive clarifies how compliance with the IFRS, when adopted in terms of IFRS1 (AC138) – *First-time adoption of International Financial Reporting Standards*, is equivalent to compliance with South African Statements of Generally Accepted Accounting Practice (“GAAP”). The South African Institute of Chartered Accountants issued a circular in November 2003 on the Alignment of the text of Statements of Generally Accepted Accounting Practice with that of International Financial Reporting Standards (“IFRS”).

2. **Background**

Statements of GAAP have been harmonized with IFRS issued by the International Accounting Standards Board (“IASB”). As a result, there are very few differences between Statements of GAAP and IFRS. However certain differences remain, notably in respect of AC 133 – *Financial Instruments: Recognition and Measurement.*

The differences that currently exist between the other Statements of GAAP and IFRS include editorial differences, implementation dates and a few additional disclosure requirements.

The revised Listing Requirements of the JSE Securities Exchange South Africa require listed companies to comply with IFRS for financial periods commencing on or after 1 January 2005. Consequently the Accounting Practices Board took a decision to, in future, issue the text of IFRS in South Africa, without any amendments. Future Statements of GAAP will therefore be the exact replica of the relevant IFRS. To indicate this, every Statement of GAAP will have dual numbering system to refer to both the IFRS and the Statements of GAAP numbers.

3. Compliance with IFRS

3.1 Where a South African entity issues financial statements in terms of IFRS for the first time, it has to follow the principles in IFRS 1 (AC138) – *First-time adoption of International Financial Reporting Standards.*

3.2 In terms of Section 286(3) of the Companies Act 61 of 1973 ("the Companies Act") *"the annual financial statements of a company shall, in conformity with generally accepted accounting practice ("gaap"), fairly present the state of affairs of the company and its business as at end of the financial year concerned and the profit or loss of the company for that financial year and shall for that purpose be in accordance with and include at least the matters prescribed by Schedule 4, in so far as they are applicable, and comply with any other requirements of this Act".*

In terms of Paragraph 5 of Schedule 4 of the Companies Act *"if it appears to the directors of the company that there are reasons for departing from any of the accounting concepts stated in Statements of Generally Accepted Accounting Practice approved by the Accounting Practices Board, where such appropriate Statements exist, in preparing the company's financial statements in respect of any accounting period they may do so, but particulars of the departure, the effects and the reasons for it shall be given".*

3.3 In terms of Section 9 of the Long-term Insurance Act 52 of 1998 ("Long-term Act") and Section 9 of the Short-term Insurance Act 53 of 1998 ("Short-term Act"), a person who wishes to carry on long-term/short-term insurance business shall apply to the Registrar for registration as a long-term/short-term insurer. The Registrar will not grant approval for the application, unless the applicant is a public company and has the carrying on of long-term/short-term insurance business as its main object. Therefore insurers have to comply with the Companies Act 61 of 1973.

3.4 Section 71(3) of the Long-term Act and section 69(3) of the Short-term Act state further that the financial statements of a long-term/short-term insurer, shall be drawn up and presented in accordance with Generally Accepted Accounting Practice.

3.5 According to a legal opinion obtained by the South African Institute for Chartered Accountants ("SAICA") in September 1999, *"in order for directors to meet the requirements of the Companies Act, the financial statements should be prepared and presented in accordance with gaap. However, if they materially depart from Statements of GAAP, the financial statements should provide disclosure of the departure, the particulars thereof, the reasons therefore and the effect of such departure on the financial statements".*

3.6 Once the text of Statements of GAAP have been aligned with IFRS, in accordance with a decision of the Accounting Practices Board, compliance with IFRS when adopted in terms of IFRS 1 (AC138) is equivalent to compliance with Statements of GAAP in so far as the entity is also in compliance with specific local Statements and Interpretations issued as part of the AC 500-series.

The AC 500-series will be utilised for Statements of GAAP and Interpretations of Statements of GAAP to address South African specific matters, not addressed in IFRS.

In order to state compliance with the Companies Act, including Schedule 4, an entity may be required to provide additional disclosures in terms of the Companies Act.

4. Compliance with the Long-term and Short-term Acts

Long-term and short-term insurance companies will comply with the relevant act if the financial statements are presented in accordance with point 3.6 above.

5. Information sharing

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.

***pp* REGISTRARS OF LONG-TERM AND SHORT-TERM INSURANCE**